

IN MODERN WARFARE, HAVING A POTENT MISSILE force depends on having a domestic industry that keeps a military well-supplied with them. Indigenous production of military hardware has been one of the focus areas of the Aatmanirbhar Bharat policy under the Narendra Modi government. That push for self-reliance got a fillip in late August when defence minister Rajnath Singh approved a landmark decision to allow the Defence Research and Development Organisation (DRDO) to transfer technologies for conventional missile systems it has developed to Indian private sector defence companies. The aim is to enable Indian defence firms to build industrial-scale production of missiles and building stockpiles as well as helping the gradual development of a mature military-industrial base. The move marks a departure from the long-standing practice in which DRDO handled research and development while Defence Public Sector Undertakings (DPSUs) such as Bharat Dynamics Limited took care of production. Till now, private firms had been restricted to supplying components and subsystems of defence products, including missiles. The new policy opens the door for them to manufacture complete missile systems, subject to rigorous technical qualifications and regulatory clearances. One objective is to expand MSME (Micro, Small and Medium Enterprises) participation across the value chain—from production and systems integration to testing, upgrades and long-term support—while reducing dependence on imports.



"WITH THE LATEST POLICY DECISION, PRIVATE PLAYERS CAN POSE A CHALLENGE TO THE MONOPOLY OF DEFENCE PSUs. THIS WILL FOSTER COMPETITION, DRIVE DOWN COSTS AND IMPROVE DELIVERY SCHEDULES"

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Significantly, strategic and nuclear-capable systems, including the Agni series of missiles and K-series submarine launched ballistic missiles (SLBMs), remain under exclusive government control, as do programmes like BrahMos cruise missiles that involve foreign partners. Among the prominent Indian conventional missiles—those with non-nuclear warheads—covered are the Akash and Akash-NG (Next Generation) surface-to-air missiles, the Astra family of beyond-visual-range air-to-air missiles, VSHORADS (the man-portable Very Short Range Air Defence System), the Rudram series of air-to-surface anti-radiation missiles, Nag and SANT (Stand-off Anti-Tank) missiles, the Naval Anti-Ship Missile-Short Range and the surface-to-surface quasi-ballistic missile Pralay.

Defence secretary Rajesh Kumar Singh—also the acting head of DRDO—said recently that by mid-September 2026, technologies related to around 50 DRDO-developed missiles had already been made available, forming part of the broader record of over 2,300 technology transfers by DRDO to over 1,100 industrial partners.

Implementation of the missile technology transfer is proceeding through competitive bidding, not nomination. Private defence firms will compete for transfer of technology (ToT) rights and their possible selection as Development-cum-Production Partners (DcPPs) for systems integration with DRDO. Selection prioritises companies' technical capacity, financial strength, infrastructure, relevant licences (including for high-energy materials), regulatory clearances and the ability to scale up production. This builds on the earlier distribution of select missile projects among private enti-